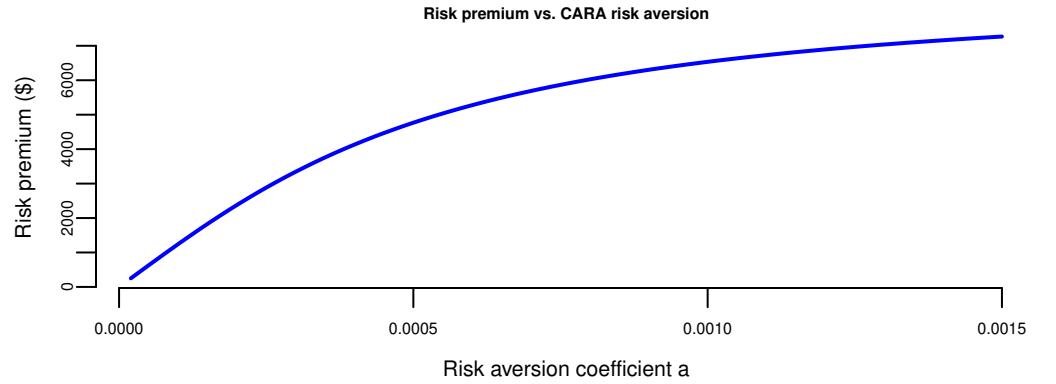
Risk premium vs. CARA risk aversion
Risk premium ($)
0
2000
4000
6000
0.0000
0.0005
0.0010
0.0015
Risk aversion coefficient a